

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
 COMPANY OF OKLAHOMA, AN)
 OKLAHOMA CORPORATION, FOR AN)
 ADJUSTMENT IN ITS RATES AND) CASE NO. PUD2025-000075
 CHARGES AND THE ELECTRIC SERVICE)
 RULES, REGULATIONS AND CONDITIONS)
 OF SERVICE IN THE STATE OF)
 OKLAHOMA AND TO APPROVE VARIOUS)
 COST RECOVERY MECHANISMS AND)
 TARIFFS)

**BRIEF OF AMICUS CURIAE OKLAHOMA GAS AND ELECTRIC COMPANY IN
 OPPOSITION TO THE NON-UNANIMOUS “SETTLEMENT AGREEMENT” ON
 LARGE LOADS**

Oklahoma Gas and Electric Company (“OG&E”), as *amicus curiae*, respectfully submits this Brief in opposition to the Non-Unanimous “Settlement Agreement” filed June 26, 2026 and amended June 30, 2026 (the “Agreement”). The Agreement asks the Commission to approve a new large load service applicable to loads above 75 MW and to approve three service options, including (i) Option 1, a full self-supply/Bring Your Own Generation (“BYOG”) option under which a customer may self-supply up to 100 percent of its capacity and energy requirements through a “wholesale market counterparty” or behind-the-meter generation, (ii) Option 2, a mixed self-supply and utility service option, and (iii) Option 3, full utility generation service.¹

The Agreement is non-unanimous and, at this stage, cannot meaningfully be described as a settlement at all. Google—a party with a number of planned and proposed data centers in Oklahoma—appears to be its principal remaining advocate along with the Data Center Coalition. Notably, Public Service Company of Oklahoma (“PSO”), AARP, Oklahoma Industrial Energy Consumers, Walmart Inc., and the United States Department of Defense are not signatories. What

¹ Non-Unanimous Joint Stipulation and Settlement Agreement at 3–6.

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remains is not a consensus resolution, but a contested proposal advanced by a single large customer seeking to reshape Oklahoma's electric-service model to be more like their home state.

Google's proposal extends far beyond tariff design. Under the guise of a customer-specific service arrangement, it would introduce retail wheeling and third-party supply arrangements—the very market mechanisms that formed the foundation of the restructuring experiments associated with the West Coast energy crisis and the market manipulation exposed during the Enron era. Oklahoma deliberately chose a different path, maintaining a traditionally regulated electric system rather than embracing electric restructuring. The Commission should decline to implement through a single tariff proceeding a fundamental change in Oklahoma energy policy that the Legislature has never authorized and that could alter the relationship between utilities, customers, and the electric grid for decades to come.

OG&E does not oppose lawful and properly structured self-supply arrangements implemented within the limits of existing Oklahoma law, specifically limited to “behind-the-meter” generation designed to support the State's natural gas sector. But the proposal here goes far beyond behind-the-meter and instead advances an alarming framework that attempts to separate “generation supply” from “retail service” in a manner that would permit off-site third-party supply in violation of Oklahoma law. The Agreement proposes functional retail wheeling under a different label, authorizing off-site, third-party supply for ultimate consumption over the utility's system, which is precisely the type of arrangement Oklahoma law has not authorized.

The Agreement therefore asks the Commission to adopt a legally infirm and operationally incomplete framework that would permit off-site self-supply and hybrid service arrangements contrary to Oklahoma law. The Commission should decline to approve the proposed framework.

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I. INTEREST OF AMICUS

OG&E is a fully regulated Oklahoma electric utility, subject to Corporation Commission jurisdiction, serving Oklahoma retail customers under the same general statutory and regulatory structure that governs PSO's retail service. The Commission's disposition of the proposed Agreement has consequences extending beyond the immediate parties because the Agreement seeks Commission approval of a new regulatory framework for large load service, including off-site BYOG and mixed-service arrangements, that the settling parties contend are within the Commission's authority to approve as part of a retail tariff.

Approval of that framework would create immediate pressure for replication across Oklahoma's vertically integrated retail electric market and would materially affect regulatory expectations for other Oklahoma cooperatives, municipal, and investor-owned utilities, their existing customers, resource planning, and cost allocation. OG&E therefore submits this *amicus* brief to assist the Commission in evaluating significant legal and policy defects in the Agreement.

II. SUMMARY OF ARGUMENT

First, the Agreement exceeds the Commission's lawful authority because it attempts to create a new category of electric service that Oklahoma law does not authorize. Under Option 1, a retail customer may satisfy some or all of its energy and capacity needs through an off-site "wholesale market counterparty" while continuing to rely on the utility's transmission and distribution system. In substance, this is retail wheeling and retail restructuring by another name. The Commission cannot implement a form of direct access or electric deregulation through tariff approval where the Legislature has not granted such authority.

Second, the Agreement conflicts with Oklahoma's existing statutory framework. The proposal is inconsistent with the Retail Electric Supplier Certified Territory Act, the statutory

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definition and limits of public utility service contained in 17 O.S. § 151, and the Legislature's continued suspension of retail restructuring and direct access under 17 O.S. §§ 190.1 *et seq.* The Agreement's attempt to characterize third-party off-site supply arrangements as "self-supply" cannot overcome statutory limitations that restrict self-generation to narrow, legislatively authorized circumstances.

Third, HB 2992 does not authorize the proposed framework. HB 2992 is a ratepayer-protection statute that imposes safeguards for large load development within Oklahoma's existing vertically integrated utility model. It does not authorize retail wheeling, third-party retail electric service, or off-site generation bypass. The Legislature considered and declined to adopt broader restructuring concepts, and the Commission should not infer authority from statutory silence.

Fourth, the Agreement creates a fundamentally one-sided risk structure that allows large load customers to capture potential benefits while leaving existing customers exposed to system costs and reliability risks. By permitting certain customers to avoid utility generation service while continuing to rely on the utility's infrastructure and integrated system, the proposal diminishes the opportunity for other customers to benefit from load growth, increases planning and procurement uncertainty, and creates unresolved concerns regarding standby service, cost allocation, and long-term resource adequacy.

Fifth, the proposal threatens to undermine Oklahoma's longstanding policy of maintaining reliable and dispatchable natural gas generation resources. The Agreement would permit large load customers to pursue individualized generation portfolios that may be driven by renewable-energy or carbon-free energy objectives while continuing to rely on a utility system supported by dispatchable generation resources. In that circumstance, the responsibility for maintaining reliable

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dispatchable capacity does not disappear. Rather, the costs remain embedded in the regulated system and are borne disproportionately by customers who continue to take bundled service.

Sixth, the Agreement is not ready for approval because many of the mechanisms supposedly designed to protect existing customers remain undefined. The proposed System Impact Charge, true-up process, cost-allocation methodologies, collateral requirements, and related customer-protection provisions require substantial future development. The Agreement therefore asks the Commission to approve a framework first and determine whether its core protections actually work later.

At bottom, the Agreement seeks to accomplish through tariff language what Oklahoma law has not authorized through statute. It would create a pathway for off-site third-party supply, shift risks away from the largest customers and onto existing customers, weaken the connection between reliability and cost responsibility, and leave critical customer protections unresolved. For these reasons, the Commission should reject the Agreement and instead approve the large load framework as proposed by PSO.

III. ARGUMENT

A. The Agreement Illegally Creates Retail Wheeling and Off-Site Retail Bypass in Substance.

Although the Agreement includes an assertion that approval “does not deregulate PSO retail service” and “does not remove the customer from Commission-approved tariff service,” those provisions merely constitute unsupported statements of the settling parties. Merely stating a proposition does not make it true, and it certainly does not change what the tariff actually authorizes. Under Section 5 of the Agreement, an Option 1 customer may self-supply up to 100 percent of its capacity and energy requirements through a “qualified wholesale market

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counterparty”, while PSO continues to provide delivery, transmission, and regulatory rider service to the customer’s full metered load. Generation-related charges for the self-supplied portion are set to \$0.00.

That is off-site retail bypass in substance. It authorizes a retail customer in PSO’s service territory to satisfy all retail generation needs through a third-party unregulated supplier with no certified service territory or franchise,² while PSO remains the delivery provider. In ordinary terms, the customer shops for generation supply from an off-site counterparty while the utility transports, delivers, meters, and bills the remaining regulated components of service. Calling it “self-supply” does not change the fact that someone other than the certified retail electric supplier will be providing unregulated retail electric service to the large load.

Google witness Adrian J. Kimbrough openly asserts “that generation-resource responsibility and retail-service responsibility are distinct concepts.”³ This statement is a direct confession of an intent to unbundle retail electric service in Oklahoma. The proposition is not merely incorrect, it is the foundational premise of retail restructuring. The Agreement only functions if retail electric service can be artificially divided into separate “generation” and “delivery” products. Under Oklahoma’s vertically integrated regulatory model, generation, capacity, transmission, distribution, and reliability obligations remain components of a single bundled retail electric service. In a vertically integrated, regulated state, generation and retail service are not distinct concepts; they are legally, structurally, and operationally bundled by law.

² The Agreement’s proposed scheme may be subject to voter-approved municipal franchise requirements under Okla. Const. art. 18, § 5 et seq., if public ways are utilized. *See Oklahoma Electric Cooperative, Inc. v. Oklahoma Gas and Electric Co.*, 1999 OK 35, 982 P.2d 512 (reaffirming that utilities using municipal ways to distribute electricity must obtain a voter-approved franchise, which may not be altered by the Legislature).

³ Adrian J. Kimbrough, Second Supplemental Testimony in Support of the Joint Stipulation and Settlement Agreement and the Large Load Service Tariff on Behalf of Google LLC, Case No. PUD 2025-000075, at 5:22–23 (June 30, 2026) [hereinafter “Kimbrough Second Supplemental”].

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By expanding the definition of “self-supply” to include “third-party wholesale suppliers” operating across the Southwest Power Pool, Google is asking the Commission to formalize a direct-access, retail-choice regime under the guise of tariff administration. The Commission has no authority to alter the statutory definitions of retail service to accommodate a single customer’s preference for unbundled wholesale market access.

PSO’s rebuttal witnesses identified precisely this problem before the Agreement was filed. Alex E. Vaughan testified that sleeved PPAs are “thinly veiled attempts at retail wheeling,” and that Oklahoma law provides for self-generation only when it is located on the corporation’s premises and the behind-the-meter production utilizes a component of natural gas—a requirement notably absent from this virtual retail wheeling proposal.⁴ He further testified that Google’s reference to AEP Ohio is a misleading comparison because AEP Ohio is a “wires only transmission and distribution utility operating in a fully deregulated state,” and thus rests on a wholly different legal and regulatory structure.⁵

Matthew A. Horeled likewise testified that recommendations by Google would allow large load customers to “shop” the market in SPP and have PSO transport the power into its service territory, exposing the utility and customers to financial risk.⁶ He further testified that Oklahoma law does not provide service options such as retail wheeling or BYOG for new large load customers and that the Legislature has already narrowly tailored the specific construct under which large loads may self-generate without adversely impacting existing customers.⁷

⁴ Alex E. Vaughan, Rebuttal Testimony on Behalf of Public Service Company of Oklahoma, Case No. PUD 2025-000075, at 28:16–18 (May 29, 2026) [hereinafter “Vaughan Rebuttal”].

⁵ *Id.* at 32:1–33:16.

⁶ Matthew A. Horeled, Rebuttal Testimony on Behalf of Public Service Company of Oklahoma, Case No. PUD 2025-000075, at 9:8–10:9 (May 29, 2026) [hereinafter “Horeled Rebuttal”].

⁷ *Id.*

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The Agreement's legal theory cannot be reconciled with those warnings. Its practical effect is to authorize the very arrangements that conflict with Oklahoma law.

B. The Agreement Conflicts with Oklahoma's Existing Statutory Structure and Cannot Be Sustained on the General Rate-Setting Provisions Cited by the Settling Parties.

The Commission's broad ratemaking authority does not provide a basis to approve the proposed framework. Google relies on the Commission's constitutional and statutory authority over utility rates and tariffs as justification for the proposal.⁸ But that authority must be exercised within the limits established by Oklahoma law. The Commission may not, through tariff design, authorize forms of retail electric service that the Legislature has not permitted. The proposal here is not merely a rate mechanism, it is a structural change to how retail electric service is provided in Oklahoma. Such a change must come from the Legislature, not through administrative recharacterization of retail service.

The Commission has already acknowledged that electric restructuring and deregulation are beyond its jurisdiction. In Case No. PUD2022-000093, Commissioners Hiett and Anthony approved an order permitting intervention by the Association for Electric Restructuring in Oklahoma ("AERO"), while expressly limiting the proceeding from becoming a forum for "advocacy efforts in support of restructuring and/or deregulation in which the Commission does not have jurisdiction."⁹ Commissioner David opposed AERO's intervention. The same jurisdictional limitation applies here. The Commission cannot approve through tariff design what Oklahoma law reserves to the Legislature.

⁸ See Settlement Agreement; Kimbrough Second Supplemental, at 4:23–8:5.

⁹ Order No. 732023, PUD2022-000093 (Okla. Corp. Comm'n, Feb. 7, 2023) (granting intervention while expressly providing that intervention was not intended to expand the proceeding to include "advocacy efforts in support of restructuring and/or deregulation in which the Commission does not have jurisdiction").

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The proposal here conflicts with specific legislative enactments as discussed below.

1. The Agreement Violates the Retail Electric Supplier Certified Territory Act.

The Retail Electric Supplier Certified Territory Act (“RESCTA”) establishes a foundational rule of Oklahoma electric regulation: the exclusive right of a certificated utility to provide retail electric service within its assigned territory.¹⁰ 17 O.S. § 158.25(A). “Retail electric service” is defined as electric power furnished to an end-use customer for ultimate consumption.¹¹

The Agreement’s BYOG construct cannot be reconciled with that framework. Under Option 1, a retail customer (“electric consuming facility”¹² under RESCTA) within PSO’s certificated territory may procure energy and capacity from an off-site “wholesale market counterparty,” which supplies power for that customer’s ultimate consumption. That transaction is, in substance, a retail sale of electricity. That retail sale classifies the wholesale counterparty as a retail electric supplier¹³ and because the counterparty holds no certificated territory, the arrangement directly conflicts with RESCTA’s exclusivity mandate.

The Oklahoma Supreme Court has already rejected similar attempts to circumvent territorial exclusivity through “virtual wheeling.” In *Okla. Gas & Elec. v. Okla. Corp. Comm’n*, 2025 OK 15, and *Okla. Elec. Coop. v. Okla. Corp. Comm’n*, 2025 OK 60, the Court narrowly

¹⁰ 17 O.S. § 158.24(A) (“No retail electric supplier shall furnish retail electric service in the certified territory of another retail electric supplier.”).

¹¹ 17 O.S. § 158.22(4) (“The term ‘retail electric service’ means electric service furnished to a consumer for ultimate consumption, but does not include wholesale electric energy furnished by an electric supplier to another electric supplier for resale.”).

¹² 17 O.S. § 158.22(6) (“The term ‘electric consuming facilities’ means everything that utilizes electric energy from a central station source.”).

¹³ 17 O.S. § 158.22(1) (“The term ‘retail electric supplier’ means any person, firm, corporation, association or cooperative corporation, exclusive of municipal corporations or beneficial trusts thereof, engaged in the furnishing of retail electric service.”).

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construed statutory exceptions and confirmed that RESCTA does not permit customers or utilities to bypass territorial boundaries by sourcing power from third parties over the grid.¹⁴

The Agreement’s off-site BYOG model is indistinguishable in function—it allows a retail customer to obtain generation service from a non-territorial supplier while relying on the utility’s system for delivery. The Commission cannot approve a tariff that authorizes what the statute prohibits.

2. The Agreement Conflicts with the Statutory Definition and Limits of Public Utility Service Under 17 O.S. § 151

Oklahoma law draws a sharp distinction between regulated utility service and limited forms of self-generation. Under 17 O.S. § 151, an entity that furnishes electric power to a consumer for ultimate consumption is a “public utility” subject to Commission regulation.

The statute provides a narrow exemption for certain self-generation arrangements, but only where energy is produced and consumed “on the premises” of the customer.¹⁵ That exemption is carefully circumscribed and reflects a legislative decision to permit only on-site, behind-the-meter self-supply, not off-site virtual wheeling.

The Agreement disregards those limits. It authorizes a retail customer to procure power from an off-site “wholesale market counterparty,” which furnishes electricity over the grid to that customer. That counterparty is therefore engaged in furnishing retail electric service for ultimate

¹⁴ In *Okla. Gas & Elec. Co. v. Okla. Corp. Comm’n*, 2025 OK 15, the Oklahoma Supreme Court explicitly defined “extending its service” under the Large Load Exception as the physical “lengthening of the supplier’s existing retail facilities,” distinguishing it entirely from simply transferring electricity over third-party networks. The Court recognized that allowing an outside retail electric supplier to interconnect with third-party transmission facilities to “hopscotch” into another supplier’s certified territory would invite unlimited “cherry picking” competition that subverts the entire territorial architecture of RESCTA. Because statutory exceptions to territorial exclusivity must be narrowly construed to preserve the foundational utility model that balances a utility’s universal obligation to serve, Google’s off-site BYOG framework represents the exact type of *ultra vires* “virtual wheeling” that this binding, recent precedent strictly prohibits. In *Okla. Elec. Coop. v. Okla. Corp. Comm’n*, 2025 OK 60, the Court applied the same interpretation, again holding that RESCTA prohibits the use of third-party transmission facilities to bypass territorial boundaries and preserved only existing service arrangements through prospective application of *OG&E*.

¹⁵ 17 O.S. § 151.

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consumption and falls within the statutory definition of a public utility—without any mechanism for certification, territorial assignment, or rate regulation.¹⁶

The Agreement also conflicts with § 151’s explicit protection against compelled service. The statute provides that a public utility has no obligation to serve a customer taking service behind-the-meter.¹⁷ Yet the Agreement would require the host utility to continue providing transmission, distribution, delivery, and standby service to a bypassing customer, even over the utility’s objection. In this respect, the Agreement does not merely expand self-supply—it eliminates the statutory limits that define it and replaces them with an unregulated hybrid model that Oklahoma law does not recognize.

In an attempt to cure this statutory infirmity, the June 30, 2026, revision of the Agreement introduces a new “Replacement Power” provision, claiming that the utility is “not required to provide generation capacity or energy, backup service, standby service, replacement power, or any other electric supply” if the customer’s third-party wholesale supply fails.¹⁸ Google argues that this shift in contractual performance risk legitimizes a \$0.00 generation capacity and energy charge.¹⁹

¹⁶ See *Southern Oklahoma Power Co. v. Corporation Comm’n*, 96 Okla. 53, 220 P. 370 (1923). In *Southern*, the Oklahoma Supreme Court flatly rejected the argument that a generation company could evade Commission jurisdiction because it operated via a private contract supplying a single counterparty rather than holding its service out to the general public. The Court held that any entity supplying power used “directly or indirectly, for public use” is a public utility subject to the Commission’s absolute authority to “prescribe and enforce rates and charges.” This rule applies directly to the Agreement’s framework. The off-site “wholesale market counterparty” is not a traditional wholesale entity; it is specifically providing retail electric service for the benefit and use of a specific corporate customer over the host utility’s system. Because this energy is injected into the grid earmarked for a designated retail facility, the transaction is a retail electric service in substance. Under the precedent in *Southern*, a third-party supplier cannot use a bespoke contract with a specific customer to bypass the statutory framework. Because they are providing retail electric service to a specific electric consuming facility, these third-party retail electric suppliers operate as public utilities and would be subject to full Commission rate regulation.

¹⁷ 17 O.S. §151(B).

¹⁸ Settlement Agreement, LLS Tariff Section 10.

¹⁹ See Kimbrough Second Supplemental, at 4:8–12; 6:14–21.

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Ironically, the inclusion of the “Replacement Power” provision confirms the Agreement’s legal defect. The settling parties recognized that Oklahoma law does not obligate a utility to support unrestricted bypass arrangements. Rather than operating within the limits established by 17 O.S. §151, the Agreement attempts to contract around those limits by declaring that service obligations do not exist even though the customer remains physically interconnected to, and dependent upon, the utility’s system.

The provision is a physical fiction that cannot be squared with the operation of a synchronized power grid. Electrons flow according to the laws of physics, not the text of a settlement agreement. If an Option 1 customer pulling over 75 MW of demand (possibly hundreds of megawatts) experiences a sudden curtailment or failure of its off-site third-party resource, the customer’s facilities do not instantaneously go dark. Instead, the load will continue to draw power instantaneously from the physical grid, automatically compelling the host utility’s generation fleet and spinning reserves to keep the facility online to avoid catastrophic failures in the bulk electric grid.

By writing a “zero-supply” clause into a tariff for a customer that remains physically hardwired to the utility system, the Agreement forces bundled residential and commercial customers to maintain a massive, real-time operational safety net for a bypassing customer without any sharing of system costs with non-bypassing customers. This directly violates the explicit protection against compelled service embedded within 17 O.S. § 151.

3. The Agreement Impermissibly Creates Retail Wheeling in Violation of Oklahoma’s Electric Restructuring Statutes.

Oklahoma remains a vertically integrated, regulated electric market. While the Electric Restructuring Act of 1997 contemplated retail competition, implementation of direct access and

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retail wheeling was indefinitely suspended, and no subsequent enabling legislation has restored it.²⁰ As a result, retail electric service continues to be provided through bundled utility service.

The Agreement would effectively create a class of direct-access customers. Under Option 1, a Large Load customer may procure generation from a competitive supplier while the utility continues to provide delivery service. That is retail wheeling in substance: a third-party supplies energy to a retail customer over the incumbent utility's system.

The Commission cannot implement retail wheeling by tariff where the Legislature has expressly withheld that authority. The Agreement thus attempts to accomplish through administrative approval what Oklahoma law requires to be done, if at all, through legislative action.

4. HB 2992 Does Not Authorize Off-Site Self-Supply or Virtual Retail Bypass.

The settling parties rely on HB 2992 as authority for the proposed large load framework.²¹ That reliance is misplaced. HB 2992 is a ratepayer-protection statute that imposes guardrails on high-demand customers, including separate rate classes, minimum contract terms, and cost-causation requirements.²² Nothing in the statute authorizes retail generation bypass, off-site self-supply, or third-party provision of electric service to retail customers.

Google also asserts that HB 2992 affirmatively supports the proposed large load framework because it requires separate tariff treatment, cost-causation protections, and Commission oversight for large load customers.²³ That argument misreads the statute. HB 2992 is a residential customer

²⁰ 17 O.S. § 190.1 *et seq.*

²¹ Kimbrough Second Supplemental, at 5:1–8:5; Settlement Agreement at Section 2.

²² *See* 17 O.S. § 900 *et seq.*

²³ Kimbrough Second Supplemental, at 5:1–8:5.

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protection statute, not a restructuring statute. Nothing in its text authorizes retail wheeling, third-party retail service, or off-site self-supply arrangements. Instead, the statute presumes the continued existence of a regulated, vertically integrated utility model and imposes safeguards within that framework. The entire point of HB 2992 is to protect existing customers through the ratemaking process by ensuring they benefit from the addition of these new large loads; the point is not to allow large loads to bypass the utility, which creates no benefits for customers.

OG&E acknowledges that the bill authors were presented with the exact arrangements contemplated here. Those frameworks were considered and rejected. The Commission cannot infer authority from statutory silence—particularly where the Legislature declined to adopt the very mechanisms the Agreement now seeks to implement. HB 2992 therefore cannot serve as a legal basis for Google’s virtual retail wheeling framework.

5. Google’s Proposal Impermissibly Unbundles Retail Electric Service and Their Testimony Mischaracterizes Third-Party Supply as “Self-Supply.”

Google’s principal defense of the proposed framework is that it does not constitute retail wheeling because PSO remains the “retail electric service provider,” while large load customers merely elect to self-supply generation through third-party arrangements.²⁴ That argument rests on a formal distinction that Oklahoma law does not recognize.

Under the Agreement, a customer may obtain energy and capacity from a “third-party wholesale supplier” or other off-site resource and rely on PSO’s transmission and distribution system to deliver that power for ultimate consumption. In substance, that is a third-party furnishing retail electric service to an electric consuming facility over the utility’s system—the defining characteristic of retail wheeling.

²⁴ *Id.* at 5:13–6:13.

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The fact that PSO continues to provide delivery service, billing, and metering does not alter the nature of the transaction. Retail electric service cannot be artificially divided into “generation” and “delivery” components in order to avoid statutory restrictions on who may provide electric service to end-use customers. The relevant inquiry is functional, not formal.

Google’s characterization of this arrangement as “self-supply” is likewise inconsistent with Oklahoma law. Self-supply is limited to generation produced and consumed on the customer’s premises under narrow statutory exceptions, including the requirement to utilize a component of natural gas.²⁵ Off-site supply procured through contractual relationships with third-party generators is not self-supply, it is third-party provision of electric service.

The proposed framework therefore effectuates retail wheeling in substance, even if not in name. Because Oklahoma has not authorized retail wheeling or retail electric competition, the Commission cannot approve a tariff that creates that structure through recharacterization.

C. The Proposal Creates a One-Sided Risk Structure That Eliminates Potential Benefits to Existing Customers While Retaining Exposure to System Costs.

Even apart from the legal defects, the Agreement shows substantial and unresolved risk to Oklahoma customers. Oklahoma’s vertically integrated electric system is designed to spread both the risks and benefits of generation, transmission, and distribution investments across all customers. Under that model, large load additions can create system-wide benefits, improving load factors, supporting more efficient use of generation resources—ultimately reducing average costs for all customers.

²⁵ The Legislature’s decision to condition expanded self-generation rights on the use of natural gas confirms that Oklahoma has not adopted a technology-neutral retail-choice regime. Rather, the statute reflects a targeted policy judgment regarding limited behind-the-meter generation and the State’s natural-gas economy. *See* 17 O.S. § 151(B).

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The proposed framework departs from that model in a fundamental way. It allows large load customers to opt-out of utility-provided generation service while continuing to rely on the utility's transmission and distribution system. In doing so, it enables those customers to avoid contributing to the generation fleet that is planned and maintained to serve system-wide needs across the utility's system and the broader Southwest Power Pool, while still benefiting from the reliability and infrastructure that generation fleet supports.

This creates an inherent asymmetry. If large load additions would otherwise reduce system-wide costs allocated to other customers or improve resource utilization, those benefits are no longer shared with other customers because the load is removed from the utility's integrated planning and cost recovery framework. At the same time, existing customers remain exposed to system costs, including the obligation to support generation and infrastructure investments necessary to ensure reliability for the broader system.

The result is a one-sided risk structure. Under the proposal, the potential benefits associated with large load growth is isolated to the bypassing large loads, while the downside risks, particularly those associated with maintaining sufficient capacity, ensuring reliability, and managing system costs, remain embedded in the regulated system and paid by non-bypassing customers.

Google emphasizes provisions designed to prevent direct cost shifting through mechanisms such as customer-specific charges, true-ups, and assignment of certain risks to bypassing customers.²⁶ But those provisions do not, and cannot, capture the full range of system-level effects associated with removing large loads from the utility's integrated resource planning framework.

²⁶ Kimbrough Second Supplemental, at 5:1–8:5.

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The loss of coordinated planning, diminished load diversity benefits, and altered cost allocation dynamics are not fully recoverable through *ex post* adjustments.

In this respect, the proposal does not simply allocate costs differently, it restructures how risks and benefits are shared across the system. Oklahoma's regulatory framework has never authorized large customers to selectively participate in that system—retaining the benefits of grid access while avoiding the responsibilities associated with integrated service. The Commission should not approve a structure that produces only downside risk for existing customers while eliminating the potential for corresponding system-wide benefits.

1. Standby/Backup Risk and Cost Shifting.

Because power flows physically across the integrated grid and interruptions occur, a BYOG customer whose third-party resource fails may depend instantaneously on utility generation and reserves to avoid blackout, yet the Agreement sets generation-related charges to \$0.00 for the self-supplied portion. A utility's existing generation portfolio will provide benefits to large load customers, and those large load customers should pay their fair share of that existing portfolio, not just their self-supplied generation. The Agreement thus creates a “free-rider” standby problem in which residential and commercial customers subsidize the capital and operational costs of maintaining backup service for large load bypass customers.

The Federal Energy Regulatory Commission (“FERC”) has likewise recognized that large loads present unavoidable system-level reliability impacts that cannot be contractually disclaimed. The FERC has found that large loads “stress both real-time operational reliability and resource

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adequacy planning” and place strain on system operations and planning processes.²⁷ These physical and operational realities confirm that a tariff provision disclaiming responsibility for replacement or backup service does not eliminate the system’s obligation to serve load in real time.

The FERC’s position is consistent with record evidence from multiple witnesses. Matthew A. Horeled testified that the proposed arrangements expose PSO and customers to financial risk. Enrique Bacalao testified that existing customers face uncompensated and unreasonable transfers of risk if incremental risks are not fully assigned to new large load development.

There is no doubt, Option 1 and Option 2 customers will not pay for any of their respective utility’s existing generation portfolios. However, they will benefit from that generation portfolio for free. They are part of the grid and get “free ride” benefits of the existing generation: power when their generation is off-line, voltage support, market energy, black start benefits, and frequency control amongst other benefits. The Agreement allows Option 1 and Option 2 customers to opt out of paying their fair share at the expense of other existing customers. Under the proposed framework, there is only downside risk for existing customers and absolutely no benefit.

The June 30, 2026, Agreement updates further expose this structural imbalance by adding a provision that directly assigns “market penalties or deficiency costs caused by or resulting from Option 1 service” to the bypassing customer. While Google frames this as a consumer-protection mechanism, it actually serves as conclusive evidence that Option 1 creates an embedded wholesale market actor within the utility’s regulated footprint.

²⁷ See *Sw. Power Pool, Inc.*, 195 FERC ¶ 61,213, at 9 (2026) (explaining that large loads “stress both real-time operational reliability and resource adequacy planning” and that the scale and speed of large-load interconnections “strain existing transmission planning processes, real-time operational tools, and market mechanisms”); *id.* at 15, 18, 50 (recognizing the significant operational, planning, and resource adequacy challenges associated with integrating large loads).

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The Southwest Power Pool's framework does not contain terms for the direct flow-through of wholesale market penalties and supply deficiencies to individual end-use customers.²⁸ Further, the provision proves that an Option 1 customer is not merely taking standard tariffed service; they are operating as an unbundled wholesale market participant whose independent procurement decisions directly inject operational liabilities into the host utility's regulated system. The Commission should not force retail customers to bear the operational risks of a large load's competitive market-shopping while shielding the large load's private third-party generation benefits behind a \$0.00 utility rate.

2. Procurement and Resource Planning Risk.

Volatile BYOG loads undermine Integrated Resource Planning and increase forecasting uncertainty because those customers can swing on and off the utility generation system while still using the broader grid.

PSO's witnesses corroborated the real-world procurement risk associated with this structure. Matthew A. Horeled testified that BYOG arrangements can divert low-cost generation resources away from the regulated procurement process.²⁹ This dynamic arises because Large Load customers participating in bilateral or wholesale market arrangements are effectively competing with the utility for access to the same pool of generation resources within the region. As a result, resources that might otherwise have been acquired through the utility's competitive procurement processes are instead developed or contracted outside of that framework. If you are

²⁸ This concern was recognized by FERC in its recent Show Cause order to Regional Transmission Organizations, including the Southwest Power Pool. Specifically, FERC found that without enforceable cost-recovery mechanisms, there may be "no mechanism to help ensure that [large load customers] bear the risk... rather than having those costs paid by other transmission customers." *See Sw. Power Pool, Inc.*, 195 FERC ¶ 61,213, at 37–39 (2026).

²⁹ Horeled Rebuttal, at 10:10–11:12.

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a wholesale seller of capacity and energy, would you rather sell to a utility that has the accountability of Commission-mandated integrated resource planning, Commission-overseen competitive bidding processes, and long preapproval application proceedings, or sell directly to an end-user with no accountability or no needed approvals? When this deregulation reduces participation in the utility's resource planning processes and prevents utilities from getting the best deal for customers, this hurts existing customers and benefits data centers and other large loads.

This competition for supply has material consequences. When large load customers procure generation independently, those resources are no longer available to support system-wide needs through the utility's Integrated Resource Planning process. This reduces coordination in resource planning and weakens the utility's ability to develop a balanced portfolio of resources based on system-wide reliability and cost considerations. As a result, the utility may be forced to rely on higher-cost alternatives for remaining customers, undermining the expectation that incremental load additions will reduce average system costs.

Alex E. Vaughan likewise testified that customers who arrange some level of BYOG capacity will also not pay for the utility's generation system for those same billing units.³⁰ This eliminates the opportunity for new large loads to contribute to lower average system costs and instead increases the likelihood that existing customers will bear a greater share of fixed generation costs.

3. The Proposal Undermines Oklahoma's Energy Policy and Shifts the Costs of Dispatchable Generation to Non-Bypass Customers

Oklahoma's electric system is planned and operated as a vertically integrated portfolio designed to provide reliable service at the lowest reasonable cost. That portfolio necessarily

³⁰ Vaughan Rebuttal, at 31:12–20.

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includes dispatchable resources, particularly natural gas generation, which are relied upon to meet peak demand and ensure system reliability when intermittent resources are unavailable.

The proposed framework disrupts that model by allowing large load customers to procure their own generation resources, including portfolios optimized for their individual ESG³¹ or anti-fossil fuel objectives, while continuing to depend on the utility's system to maintain reliability. Under this structure, those customers may reduce or eliminate their participation in utility-provided generation service, including the dispatchable resources that underpin system reliability.

At the same time, the need for dispatchable generation does not disappear. The utility must continue to plan for and maintain sufficient capacity to serve aggregate system demand, including peak conditions. The result is a structural imbalance. To the extent large load customers elect to rely on non-dispatchable or intermittent resources to meet their individual energy needs, the responsibility for maintaining dispatchable capacity does not follow those customers out of the system. Instead, those costs remain embedded within the regulated utility framework and are borne by the customers who continue to take bundled service.

This outcome is particularly concerning in light of Oklahoma's longstanding reliance on dispatchable natural gas generation as a core component of its electric system and broader economy. The State has encouraged investment in and utilization of reliable, fuel-secure generation resources to support economic development and system resilience.³² Yet under the proposed framework, customers with the largest and fastest-growing loads may have both the

³¹ ESG refers to *Environmental, Social, and Governance* objectives, including corporate climate commitments. Google has publicly committed to operate its facilities on "24/7 carbon-free energy" by 2030. Because conventional natural-gas generation is not a carbon-free resource, these publicly stated objectives may create incentives to favor renewable and other carbon-free resources over traditional dispatchable natural-gas generation favored under state statute.

³² 17 O.S. § 801.5(D) ("It is the intent of the state that new generating facilities and added capacity to existing generating facilities built in this state be powered by natural gas.").

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ability and the incentive to structure their supply arrangements in a manner that minimizes their exposure to dispatchable natural gas resources.

The practical effect is to separate the consumption of energy from the responsibility for maintaining the capacity needed to reliably deliver that energy. Large load customers retain the benefits of a highly reliable grid backed by dispatchable resources, while non-participating customers bear a disproportionate share of the costs required to maintain that reliability.

Google emphasizes mechanisms intended to align cost responsibility with cost causation and prevent direct cost shifting. But those mechanisms operate at the level of customer-specific charges and cannot fully address system-level dynamics associated with resource planning and capacity obligations. The costs of maintaining dispatchable generation are driven by aggregate system needs, not solely by the consumption profile of any single customer.

By enabling selective participation in the generation component of utility service, the proposal risks undermining both the integrated planning paradigm and the policy objectives it supports. The Commission should not approve a framework that allows the largest loads on the system to avoid participation in the very resources necessary to ensure reliability, while leaving existing customers responsible for those costs.

4. Incomplete Consensus Among Affected Interests.

This case also lacks the broad consensus that often supports a Joint Stipulation's approval. The Agreement is opposed or unsigned by the host utility and by major consumer, industrial, and federal parties, including PSO, AARP, OIEC, Walmart, and DOD/FEA.

That matters here because the unresolved issues are not peripheral. They go to the lawfulness of off-site self-supply, the adequacy of cost-causation protection, the form of exit and collateral protection, and the fundamental structure of large-load service. The Commission should

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not use a non-unanimous Agreement to short-circuit adjudication of an issue of this magnitude—especially when the Agreement itself contemplates later development of the very mechanisms said to protect non-participating customers. This also has ramifications on electric cooperatives and municipal utilities, who stand to have a “policy” adopted in the PSO case cascade across the state.

D. The Commission Should Not Approve an Agreement That Leaves Its Principal Customer-Protection Mechanisms Undefined and Raises Concerns for Existing Customers.

The Agreement repeatedly asserts that the proposed framework will protect existing customer classes, but the record simultaneously establishes that the principal mechanisms on which that alleged protection depends are not fully formed and insufficient. The Agreement itself describes the customer protections only in broad terms. The testimony of Google witness Adrian J. Kimbrough is even more explicit. In supporting the Agreement, he testified that the true-up “will require the development of a specific formula or process” for later Commission approval.

That sequencing is backward. The Commission is being asked to approve an Agreement today that would immediately authorize 100 percent off-site self-supply and mixed-service arrangements, while leaving the operative formulas and mechanics of the core corrective protections to be developed later. On this record, the Commission cannot find that the protections are fair, just, reasonable, enforceable, or in the public interest, because the material details do not yet sufficiently exist in filed form. A non-unanimous stipulation cannot be used to obtain approval of a tariff skeleton while postponing the hard work of defining the safeguards that supposedly justify it.

These structural deficiencies are compounded by the specific language of the Agreement’s cost-allocation provisions, which introduce additional asymmetry and uncertainty. For example, the Agreement removes statutory safeguards governing behind-the-meter generation. Current

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Oklahoma law does not permit unrestricted self-supply. Rather, the Legislature has adopted a narrow and carefully structured framework governing behind-the-meter generation under 17 O.S. § 151. That framework reflects a deliberate policy choice to limit self-supply to specific configurations and conditions, including constraints on how generation resources are deployed and integrated with the retail system.

The Agreement departs fundamentally from that structure. Under the BYOG provisions, a large load customer may satisfy its energy and capacity requirements through a “wholesale market counterparty” without regard to the statutory limitations that govern behind-the-meter service. Nothing in the Agreement requires that self-supplied generation conform to the types of resources, configurations, or fuel sources contemplated by § 151. Specifically, the use of natural gas as a component.³³

This omission is significant. The existing statutory framework has tied self-supply to on-premises generation that reflects Oklahoma’s broader energy economy—including its substantial natural gas sector. By contrast, the Agreement would permit a bypassing customer to rely exclusively on externally procured resources—including intermittent or out-of-state renewable generation—while continuing to depend on the regulated system for delivery and reliability.

In effect, the Agreement strips away the guardrails the Legislature imposed on self-supply and replaces them with an open-ended procurement model untethered from Oklahoma’s statutory and natural gas policy framework. The Commission should not adopt an Agreement that expands self-supply beyond those legislative limits, particularly where doing so risks shifting both economic benefits and system costs away from the State, its natural gas economy, and its existing customers.

³³ 17 O.S. § 151(B).

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In addition, the Agreement contains provisions that allow large loads to claw back the benefits their system entry creates for residential and small business customers, thus making it more difficult for existing customers to realize the benefits of large load system expansion. Section 2.3³⁴ and 2.4³⁵ of the Agreement introduce a reverse credits mechanism where other customer classes cannot retain the benefits that come from adding large loads to the system. For example, if there are net benefits for residential/commercial customers derived from adding large loads, the Agreement allows the large load customers to claw back those benefits through reverse credits (i.e., charges to residential/commercial customers with credits back to the large load customer(s)). The Agreement essentially ensures that existing customers will never benefit from large load system expansion.

By not allowing others to retain the benefits of adding these large loads, the Agreement effectively positions large load customers to advocate in future proceedings for cost-allocation methodologies that reduce their assigned share of system costs. This creates an embedded incentive for those customers to litigate cost allocation issues aggressively with the expectation of obtaining reverse credits through the true-up process.

Rather than serving purely as a safeguard against harm, the true-up becomes a mechanism through which large load customers may seek affirmative cost reallocation to shift costs toward small businesses and residential customers.

³⁴ Settlement Agreement, at Section 2.3 (“If such review identifies a cost shift, under-recovery, *or over-recovery*, then the applicable rates, charges, credits, collateral requirements, exit fees, minimum charges, or other tariff terms shall be adjusted...) (emphasis added).

³⁵ Settlement Agreement, at Section 2.4 (“To the extent the true-up mechanism determines overcollection from a large-load... the affected customer or customers shall receive an appropriate credit...”).

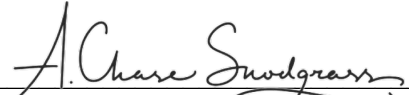
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IV. CONCLUSION AND REQUESTED RELIEF

The Agreement asks the Commission to approve a non-unanimous, legally disputed, and operationally incomplete framework that would authorize 100 percent off-site self-supply through third-party counterparties while leaving material customer-protection details for later. As detailed herein, substantial legal barriers to the Agreement exist under Oklahoma law and the Commission lacks the jurisdiction to approve the proposed framework in the face of contrary statutory authority.

For these reasons, amicus curiae Oklahoma Gas and Electric Company respectfully requests that the Commission decline to approve the Agreement. In the alternative, the Commission should approve the Large Load framework proposed and supported by PSO.

Respectfully submitted,


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CERTIFICATE OF SERVICE

I hereby certify that on the 9th day of July 2026, a true and correct copy of the foregoing was electronically served via electronic mail to the following persons:

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